

GLOBAL FX TRADER

Carry, With Energy

Our thoughts on USD, EUR, GBP, ZAR, JPY, HUF, AUD/NZD, & IDR

- **USD: Is this thing on?** Despite a lot of macro news, actual Dollar moves have been quite constrained in recent weeks. When we assess relative performance beneath the surface over the last few weeks, a number of familiar themes are still clearly driving returns—high- vs low-yielding carry most of all, together with energy ToT coming back to the forefront. On the latter, we think the Dollar's more muted performance is consistent with a stronger starting point and less safe-haven demand than in March. However, high energy prices should also provide some cushion for the Dollar against the on-hold FOMC decision we expect next week. If oil prices stay elevated, we do not expect much change in cumulative hike pricing or pass-through to the Dollar on the decision, despite markets pricing a meaningful chance of a rate hike next week. Over the more medium term, we see our economists' call for the FOMC to remain on hold through the end of the year as a modest but manageable headwind for the currency against its G10 peers. Factors like carry, ToT and (relatedly) relative return prospects remain key to our baseline outlook of divided Dollar performance in the months ahead. That said, we continue to see routes through which things such as the re-escalation of the conflict, the debate around AI capex spending, and the move towards more expansionary fiscal policy in places such as the UK and Japan could lead to more divergent and disruptive FX moves. Low levels of implied volatility seem justified by realized price action, but also amplify the value of FX for hedging against these scenarios.
- **EUR: Stuck in the shadow.** In many respects, the Euro continues to trade as the mirror image of the broad Dollar. The correlation between the two has remained exceptionally tight in recent months, more so than for any other G10 Dollar pair (Exhibit 1). In part, we think this is reflective of the limited idiosyncratic vol stemming from domestic Euro-area data and policy. The German fiscal rollout has continued at a firm pace, but the implications for area-wide growth have been outweighed by the impact of the global energy shock. And ECB policy has generally continued to be well-telegraphed, including with a hold at this week's meeting, and with a September hike being widely expected and priced. While it is true that hike pricing has now run more clearly ahead of our economists' baseline for a final additional hike in September, this dynamic is common across almost all G10 markets, which we think raises the hurdle for ECB-driven rate differential

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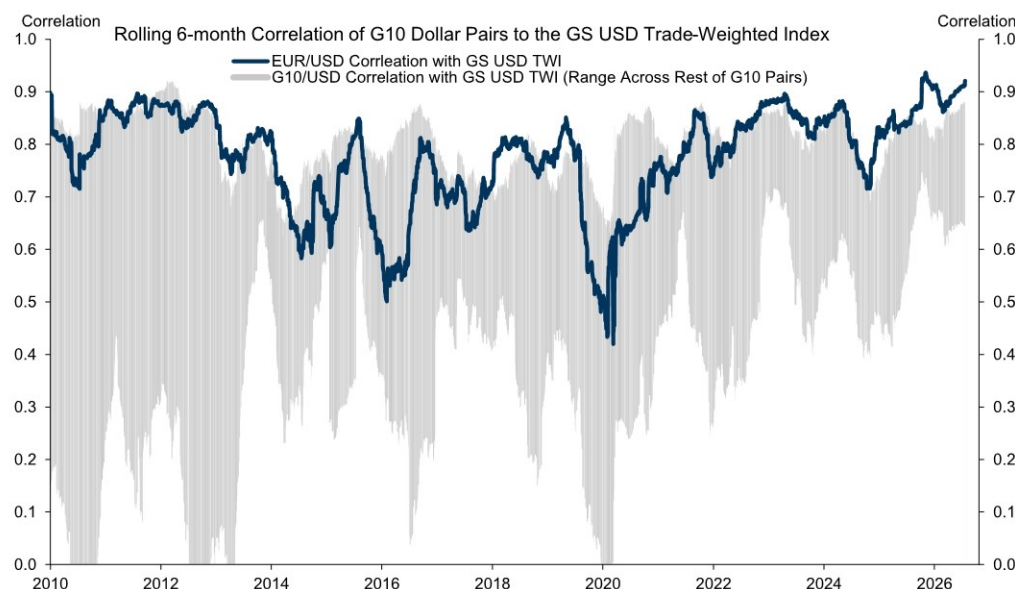
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shifts to materially drive the Euro's performance ahead. From a global perspective meanwhile, the Euro remains on the wrong side of both the terms of trade shock (particularly with European natural gas prices now showing greater participation than in March/April), and of the high-yielder versus low-yielder divide. We see these two global themes as central to the FX market outlook currently, and should help keep EUR/USD under pressure in the months ahead in our view, and support the case for Euro-funded carry positions.

Exhibit 1: The Euro's correlation to the broad Dollar has been tighter than for any other G10 Dollar pair



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

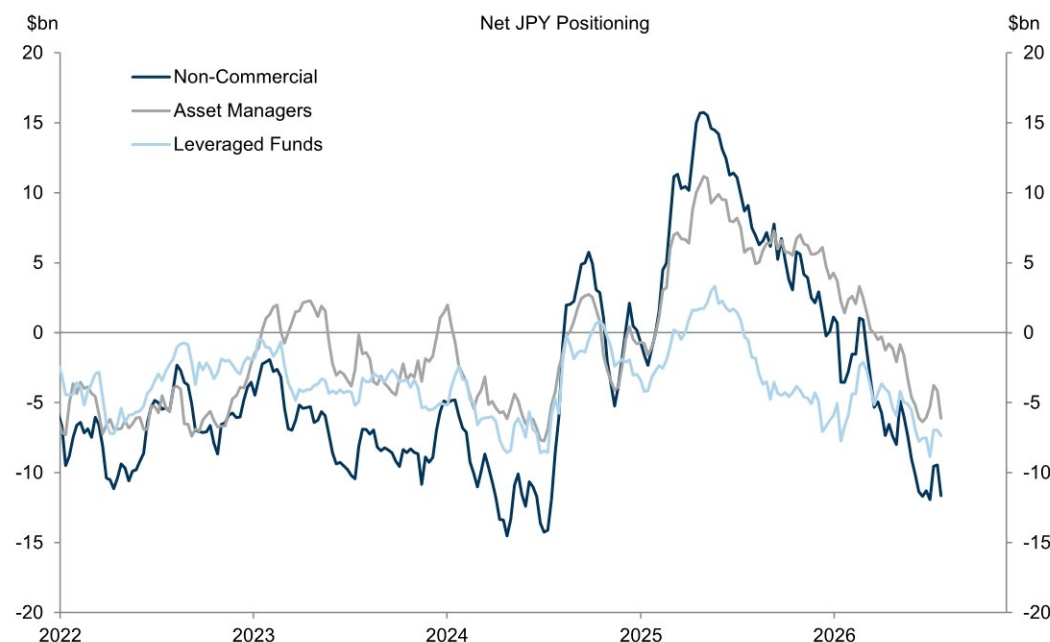
- **GBP: Week one weakness.** Spending announcements in the first week of the Burnham government have been relatively minor in scale. But question marks around their planned funding sources—alongside the prospect of larger spending initiatives ahead—have recentred investor focus on the risks and constraints on the UK fiscal front. We see this renewed scrutiny as having helped Sterling unwind part of its July outperformance this week, alongside a drag from resurgent energy prices and the associated risk-off impulse. Part of Sterling's July divergence from cyclical fundamentals has retraced as a result, but we see risks as skewed to a near-term extension of this past week's themes and price action, and maintain our tactical short GBP/USD recommendation. Looking to the medium term, we think week one's developments imply growing risks of fiscal premia returning and driving bouts of Sterling negativity into and around the Autumn Budget. These bouts should still be relatively short-lived in our view, but where they do crop up, they are likely to push in the same direction as UK macro risks—particularly an unwind of BoE hike pricing, which has more meaningfully overshoot our economists' on-hold baseline than in other G10 markets. Sterling's longer-term outlook meanwhile appears to us to be more balanced. The currency's structural overvaluation remains a key headwind, but should partially be offset by boosts to the Pound from its relatively strong carry

offering, and our baseline view of a procyclical global backdrop over the coming year.

- **ZAR: Limited support.** The Rand weakened sharply this week following the SARB's on-hold decision, which went against the Bloomberg consensus and market pricing (though it was in line with our economists' expectations). We think this FX reaction is consistent with the extent of the surprise, particularly given that it coincided with a stronger-than-expected June inflation print and the recent rise in energy prices. The latter has led to a deterioration in South Africa's terms of trade beyond early April levels. By itself, the terms of trade decline is a significant headwind for the Rand, which has been among the most sensitive currencies to oil price shifts since the conflict began. In some respects, the thesis for ZAR longs has not shifted materially, as it had previously been anchored on a sustained decline in energy prices, or at least a compression of the upside tail risk in oil—a scenario that would likely also not require the SARB to hike rates further. However, with greater uncertainty and risks to energy supply and prices, the SARB's messaging has not adjusted to this backdrop from an FX investor's standpoint. This leaves the Rand more vulnerable to energy-price moves and broader EM risk sentiment over the near term than otherwise, especially as FX carry is not as elevated as for other energy importers such as EGP or INR (where central bank action to mitigate FX depreciation pressures has been more forceful). Still, over the medium term and assuming oil prices moderate, we think current levels in USD/ZAR provide an attractive entry point to play for a conflict de-escalation and still strong local fundamentals, especially on the fiscal front. Here, fiscal data to be released next week—which our economists expect to continue to point to revenue outperformance—will be key to watch.
- **JPY: More wary carry.** USD/JPY has grinded up to fresh 40-year highs and tactical short JPY positioning stands near the stretched levels reached prior to the July 2024 intervention and subsequent carry unwind in early August (Exhibit 2). This, combined with the rising volatility around energy, policy, and AI that has so far had less of an impact on FX, has raised some concerns about a sharp drop in USD/JPY yet to come. We think the vulnerability in terms of positioning is similar and should keep investors wary, especially with higher likelihood of repatriation flows. But the risk of a sudden unwind looks a bit lower than it was back then. In the summer of 2024, markets were increasingly worried about a US recession and pricing in Fed *cuts*—pushing yields and equities lower together, when JPY tends to outperform the most. Now, the US economy has looked increasingly further from recession and the Fed is actively considering *hikes* in a broadly constructive risk environment. If the Fed does begin tightening, that will likely be a challenge for US equities over the nearer-term and would limit the weakness in JPY relative to others. But the catalyst for an unwind on JPY *outperformance* would be if AI valuations become more questioned, leading to lower yields alongside equities. We still expect the Fed not to hike and risk sentiment to remain constructive, which should continue to press USD/JPY higher. Moreover, domestic fiscal risks look likely to continue weighing on JGBs and JPY, especially if the administration pushes through the consumption tax cut by early August—consistent with its shift towards a less stringent shorter-term fiscal framework. But investors are rightfully focused on the risk of a carry unwind because, while the

macro may not be as conducive to JPY strength (unless the BoJ were to move towards more aggressive hikes), intervention can significantly reduce speculative positioning. We have written (and seen) that the effectiveness of JPY-buying operations tends to be relatively short-lived when the broader macro points in the opposite direction. However, policy that successfully encourages repatriation would be a more credible and sustainable lever to pull that could catalyze the erosion of its severe undervaluation, especially if the US outlook were to weaken. And the administration appears closer to pursuing it than we thought. It would likely be a gradual and quiet process to start, particularly to preserve more attractive entry-levels. But if flows begin to suggest some rotation, that could signal the start of an unwind of the longer-term positioning that was largely absent in August 2024. Overall, we think the nearer-term pressures will continue to be JPY-negative. But a faster and more disorderly depreciation would likely further raise the risk of intervention—and of possibly the most credible form that could also shift the longer-term trajectory.

Exhibit 2: Tactical short JPY positioning stands near the stretched levels reached prior to the August 2024 carry unwind



Source: Haver Analytics, CFTC, Goldman Sachs Global Investment Research

- **HUF: Just right.** Last week, we discussed that while we maintained a constructive HUF outlook over the medium-term, near-term dynamics looked more challenging as global factors remained unfavourable (namely higher energy prices) and additional positive local catalysts (like a lower inflation target) were likely to only materialise later in the year. In this context, the MNB meeting this week did not provide much relief to the Forint with the central bank cutting rates by 25bp (as widely expected) and maintaining its guidance for another cut next month. The MNB also stated that the decline in domestic risk premium persisted, slightly softened its language on FX stability contributing to anchoring inflation expectations and Governor Varga noted that the Forint was neither too strong nor too weak. In our

view, this suggests that the EUR/HUF rally since mid-June has not been large enough to warrant a more significant change in stance (likely because inflation developments have remained benign) and that there is a preference for a greater share of the country risk premium reduction to be reflected in rates than in FX at this stage. To be sure, we would expect a larger shift in policy if the Forint were to weaken substantially and rapidly from current levels, or if energy prices were to move sharply higher. However, for now given a less strong local anchor, we expect day-to-day swings in HUF to continue to be driven mostly by global factors.

- **AUD/NZD: Buoyed up.** Last week we noted that AUD/NZD could finally be turning the tide, but this week AUD/NZD was buoyed by a sharp increase in energy prices amid renewed escalation in the Middle East. Australia's June employment report was also slightly firmer than expected, with upside surprises in both employment growth and participation. That said, our economists cautioned that the unemployment rate averaged 20bp above RBA forecasts in Q2, the underemployment rate has risen 60bp over the past two months, and they continue to expect labor market conditions to soften. Meanwhile, in New Zealand, Q2 CPI surprised to the upside, with headline inflation accelerating to 4.1%/y. In response, our economists now expect an additional 25bp RBNZ hike in December, alongside the September hike already penciled in. Taken together, these domestic developments are broadly consistent with our view that New Zealand data and policy are converging toward Australia and the broader G10 backdrop. We continue to see scope for AUD/NZD to correct lower over the medium term and prefer longer-dated AUD/NZD puts to express this view while managing near-term volatility around tactical catalysts, including the upcoming Australian CPI release. However, the lack of follow-through on the New Zealand inflation surprise to AUD/NZD demonstrated how renewed energy price pressures are a key risk to the view. While AUD/NZD's sensitivity to energy prices had weakened in recent weeks—leaving us comfortable with downside despite lingering terms-of-trade risks—a more persistent energy shock could re-establish sustained upward pressure on the cross, offsetting domestic fundamentals.
- **IDR: Steady but still cautious.** Following sharp depreciation and underperformance year-to-date, the Indonesian Rupiah has been steadier over the past month. Partly in response, the BI kept policy rates unchanged this past week (after already having hiked cumulatively by 100bps this year to 5.75%), but broadened incentives to attract foreign inflows. These include increasing the discount given to investors to hedge onshore assets (such as local government bonds) to 12.5% for onshore FX forwards (from 10% earlier) and introducing a 15% discount on domestic non-deliverable forwards (DNDFs). In our view, BI's decision reflects its comfort with inflation staying within the target range, while preserving policy space (to hike later), in the event that the Fed hikes rates and causes renewed depreciation pressure on the Rupiah. Locally, as well, the news has been steadier but medium-term challenges remain. S&P affirmed its 'BBB' debt rating with a stable outlook for Indonesia on July 13 which provided some relief, and domestic equity markets avoided a downgrade by MSCI from Emerging to Frontier markets in June, but the index provider's message remains cautious with the next review due in November. That said,

investors remain concerned about the law to expand BI's mandate and implications for the inflation targeting framework; the government's plans to supervise natural resource exports and whether added bureaucracy could lead to delays; and whether the fiscal imperatives of the government, including maintaining fuel subsidies and the free meal program will risk the 3% fiscal deficit cap. In light of these domestic concerns, we remain cautious on IDR and expect it to underperform other NJA currencies.

Global FX Forecasts

	Current Spot	3-Month Horizon		6-Month Horizon		12-Month Horizon	
		Forward	Forecast	Forward	Forecast	Forward	Forecast
G10							
EUR/\$	1.14	1.14	1.14	1.15	1.12	1.15	1.12
£/\$	1.33	1.33	1.33	1.33	1.29	1.33	1.28
AUD/\$	0.70	0.70	0.72	0.69	0.73	0.69	0.74
NZD/\$	0.58	0.58	0.60	0.58	0.61	0.58	0.62
\$/CAD	1.41	1.40	1.40	1.40	1.38	1.39	1.38
\$/CHF	0.82	0.81	0.81	0.80	0.82	0.78	0.82
\$/NOK	9.61	9.63	9.56	9.64	9.55	9.66	9.38
\$/SEK	9.76	9.71	9.65	9.65	9.73	9.57	9.55
\$/JPY	164	163	162	161	163	159	165
EMEA							
\$/CZK	21.3	21.2	21.5	21.2	21.8	21.2	21.6
\$/HUF	321	322	311	323	313	324	308
\$/PLN	3.81	3.81	3.77	3.80	3.79	3.80	3.79
\$/RON	4.60	4.62	4.52	4.64	4.63	4.68	4.69
\$/RUB	80.82	80.82	80.0	83.21	85.0	87.79	90.0
\$/UAH	44.8	45.9	46.0	47.1	48.0	50.0	52.0
\$/TRY	47.27	51.21	48.0	55.41	50.0	64.90	54.0
\$/ILS	3.06	3.06	3.00	3.05	3.05	3.03	3.10
\$/EGP	51.4	54.2	49.0	56.2	48.0	60.0	46.0
\$/ZAR	16.82	16.95	16.50	17.08	16.00	17.34	15.75
\$/NGN	1367	1413	1325	1452	1300	1532	1250
Americas							
\$/ARS	1489	1567	1500	1663	1600	1847	1800
\$/BRL	5.08	5.19	4.90	5.29	5.00	5.51	5.00
\$/MXN	17.52	17.65	17.75	17.78	18.00	18.05	18.00
\$/CLP	947	946	920	944	900	944	860
\$/PEN	3.40	3.41	3.40	3.43	3.35	3.45	3.30
\$/COP	3200	3277	3350	3353	3300	3500	3200
Asia							
\$/CNY	6.78	6.73	6.80	6.69	6.70	6.60	6.50
\$/HKD	7.84	7.82	7.80	7.80	7.80	7.77	7.80
\$/INR	96.57	97.84	94.00	98.71	95.00	100.20	96.00
\$/KRW	1473	1473	1460	1469	1440	1462	1420
\$/MYR	4.09	4.08	3.90	4.06	3.80	4.04	3.70
\$/SGD	1.29	1.28	1.28	1.28	1.25	1.26	1.24
\$/TWD	32.3	32.4	31.5	32.5	31.0	32.5	30.5
\$/THB	33.81	33.77	34.00	33.59	33.50	33.18	33.00
\$/IDR	17915	18149	17000	18273	17100	18514	17200
\$/PHP	61.75	61.86	62.00	62.04	61.00	62.32	61.00
Euro Crosses							
EUR/GBP	0.85	0.86	0.86	0.86	0.87	0.87	0.88
EUR/CHF	0.93	0.92	0.92	0.92	0.92	0.90	0.92
EUR/NOK	10.94	10.99	10.90	11.05	10.70	11.15	10.50
EUR/SEK	11.10	11.08	11.00	11.07	10.90	11.05	10.70
EUR/CZK	24.19	24.27	24.50	24.32	24.40	24.47	24.20
EUR/HUF	365	367	355	370	350	374	345
EUR/PLN	4.33	4.35	4.30	4.36	4.25	4.39	4.25
EUR/RON	5.24	5.28	5.15	5.33	5.18	5.41	5.25
EUR/RUB	91.9	92.3	91.2	95.4	95.2	101.4	100.8

See dynamic table here (or click image above): <https://publishing.gs.com/content/themes/fx-forecasts.html>

Source: Goldman Sachs Global Investment Research

Return Forecasts & Valuations

	Current Spot	Forecast: 12-Month Return (%)				GSDEER			GSFEER					
		Spot	Carry	Total	NEER	Estimate	Misalignment		Estimate	Misalignment		Average Estimate	PPP*	
							Bilateral	Trade- Weighted		Bilateral	Trade- Weighted			
G10														
EUR/\$	1.14	-1.6	-1.5	-3.0	-1.7	1.19	-4%	7%	1.14	0%	0%	1.17	1.52	
GBP/\$	1.33	-3.9	0.1	-3.8	-3.5	1.19	12%	25%	1.24	7%	8%	1.21	1.50	
AUD/\$	0.70	6.2	0.5	6.7	3.6	0.79	-12%	10%	0.66	5%	11%	0.74	0.70	
NZD/\$	0.58	7.4	-0.8	6.5	4.7	0.66	-13%	3%	0.58	-1%	1%	0.63	0.67	
\$/CAD	1.41	2.1	-1.6	0.4	1.9	1.25	-11%	-7%	1.38	-2%	-1%	1.30	1.17	
\$/CHF	0.82	4.0	-4.1	-0.3	4.7	0.86	5%	13%	0.824	1%	3%	0.85	0.92	
\$/NOK	9.61	2.6	0.4	3.0	3.0	6.71	-30%	-23%	9.24	-4%	-6%	7.72	8.87	
\$/SEK	9.76	4.1	-1.9	2.0	4.8	7.40	-24%	-16%	9.38	-4%	-2%	8.19	8.26	
\$/JPY	163.9	-0.7	-3.0	-3.7	-2.9	96	-41%	-32%	138	-16%	-12%	113	93	
EMEA														
\$/CZK	21.26	-1.6	-0.3	-1.9	-0.7	25.6	20%	29%	21.9	3%	3%	24.14	15.82	
\$/HUF	321	4.0	1.0	5.1	5.3	323	1%	7%	356	11%	13%	336	261	
\$/PLN	3.81	0.3	-0.1	0.2	1.7	4.08	7%	16%	3.84	1%	2%	3.98	2.43	
\$/RON	4.60	-1.8	1.8	-0.1	--	--	--	--	5.34	16%	14%	--	--	
\$/RUB	80.8	-10.2	8.6	-2.5	-10.2	82.22	2%	17%	75.22	-7%	-1%	79.42	40.15	
\$/UAH	44.79	-13.9	11.6	-2.3	--	--	--	--	--	--	--	--	--	
\$/TRY	47.27	-12.5	37.3	20.2	-11.5	34.47	-27%	-24%	46.19	-2%	-2%	39.16	29.15	
\$/ILS	3.06	-1.2	-1.1	-2.3	-0.8	3.73	22%	35%	3.26	6%	10%	3.54	4.70	
\$/EGP	51.35	11.6	16.8	28.5	--	--	--	--	--	--	--	--	--	
\$/ZAR	16.82	6.8	3.1	10.1	5.8	12.98	-23%	-14%	17	-1%	4%	14.46	18.40	
\$/NGN	1367	9.4	12.0	21.4	--	--	--	--	--	--	--	--	--	
Americas														
\$/ARS	1489	-17.3	24.0	6.8	-18.6	--	--	--	--	--	--	--	--	
\$/BRL	5.08	1.7	8.3	10.1	1.2	4.38	-14%	-1%	5.34	5%	6%	4.76	5.28	
\$/MXN	17.52	-2.7	3.0	0.3	-3.4	20.36	16%	24%	17.88	2%	4%	19.37	20.29	
\$/CLP	947	10.1	-0.3	9.7	9.2	680	-28%	-16%	861	-9%	-3%	752	787	
\$/PEN	3.40	3.1	1.4	4.5	2.2	2.82	-17%	-7%	2.98	-12%	-11%	2.88	4.24	
\$/COP	3200	0.0	9.4	9.4	-0.5	3721	16%	32%	3820	19%	15%	3760	3298	
Asia														
\$/CNY	6.78	4.3	-2.7	1.5	2.9	5.07	-25%	-16%	6.13	-10%	-6%	5.49	5.82	
\$/HKD	7.84	0.5	-0.9	-0.4	-2.5	7.02	-11%	10%	6.81	-13%	-7%	6.94	5.85	
\$/INR	97	0.6	3.8	4.4	-0.7	85.63	-11%	-4%	87.05	-10%	-9%	86.20	57.50	
\$/KRW	1473	3.7	-0.7	3.0	2.0	1195	-19%	-2%	1173	-20%	-23%	1186	929	
\$/MYR	4.09	10.5	-1.2	9.2	7.9	3.30	-19%	-2%	4.10	0%	5%	3.62	1.95	
\$/SGD	1.29	4.2	-2.6	1.5	1.2	1.36	5%	25%	1.33	3%	8%	1.35	0.57	
\$/TWD	32.3	5.8	0.7	6.6	3.5	24.54	-24%	-7%	24.68	-24%	-20%	24.60	13.21	
\$/THB	33.81	2.4	-1.9	0.5	0.2	32.35	-4%	17%	34.64	2%	9%	33.26	18.82	
\$/IDR	17915	4.2	3.3	7.6	1.6	14438	-19%	-3%	16148	-10%	-6%	15122	10885	
\$/PHP	61.75	1.2	0.9	2.2	-1.1	59.82	-3%	19%	63.68	3%	12%	61.37	52.56	
Euro Crosses														
EUR/GBP	0.85	-2.3	1.6	-0.8	-3.5	0.99	16%	25%	0.92	7%	8%	0.96	1.01	
EUR/CHF	0.93	5.6	-2.6	3.0	4.7	1.02	10%	13%	0.94	1%	3%	0.99	1.40	
EUR/NOK	10.94	4.2	1.9	6.1	3.0	7.95	-27%	-23%	10.55	-4%	-6%	8.99	13.46	
EUR/SEK	11.10	5.7	-0.5	5.2	4.8	8.77	-21%	-16%	10.71	-3%	-2%	9.55	12.54	
EUR/CZK	24.19	0.0	1.2	1.1	-0.7	30.36	26%	29%	25.03	3%	3%	28.23	24.02	
EUR/HUF	365	5.7	2.5	8.2	5.3	382	5%	7%	406	11%	13%	392	396	
EUR/PLN	4.33	1.9	1.4	3.3	1.7	4.83	12%	16%	4.39	1%	2%	4.66	3.68	
EUR/RON	5.24	-0.3	3.3	3.0	--	--	--	--	6.10	17%	14%	--	--	
EUR/RUB	91.9	-8.8	10.1	1.3	-10.2	97.45	6%	17%	85.9	-7%	-1%	92.8	--	
Addendum														
USD	--	-1.7	-1.8	-3.3	-1.1	--	--	14%	--	--	3%	--	--	

Note: USD returns average of all other currencies (except ARS, NGN and UAH) with opposite sign; *EM estimates adjusted for per capita income. Spot values as of Wednesday.

See dynamic table here (or click image above): <https://publishing.gs.com/content/themes/table.html?criteriaKey=1k2HGqQs2h>

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Kamakshya Trivedi, Michael Cahill, Danny Suwanapruti, Teresa Alves, Karen Reichgott Fishman, Stuart Jenkins, Victor Engel and Lexi Kanter, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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Disclosures

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